
Turning a dream into reality:[Daily Edition]

Nicky Blackburn. **Jerusalem Post**. Jerusalem: May 8, 2003. pg. 11

Abstract (Article Summary)

In November last year British company, Electric Pocket, chose Degel to update its BugMe! product from the Palm Pilot to next generation mobile phones. Electric Pocket, a privately held company that specializes in mobile and wireless computing applications for companies like Vodafone, Ericsson, and Handspring, came across Degel after reading a report by Andy Weinstein, one of the company's engineers, on the Symbian Web site. It then approached the Israeli company via e-mail and asked it to redesign BugMe!, a reminder program popular with Palm OS and Pocket PC users. The first project was to update BugMe! for the Nokia 7650, and the second for the Ericsson P800. Both mobile phones are based on Symbian technology and have a built-in camera and voice recorder.

Unlike Palm, Degel had to find a way for users to operate the note-taking technology without a keyboard, since the keypad on mobile phones is inconvenient and slow to use. Degel therefore incorporated the use of photographs and audio clips and developed an easy-to-use, joystick-driven wizard-style interface implementation. Today users of the Nokia 7650 can either record notes or reminders, or as [David Goldfarb] suggests, take a photograph that does the same job. Say you've got chicken cooking in the oven and want to remember to take it out in 20 minutes. You just take a snapshot of the chicken in the oven and then click 20 minutes. When the alarm rings, the photo appears on screen, reminding you to turn off the oven. "It's a two-second process," says Goldfarb.

GOLDFARB INITIALLY founded Degel Software in the early 1990s, and ran the company as a one-man operation. In 1995 he closed the company and began work on a new project called 2am Development. At the end of 2000 2am Development became another victim of the collapse of the dot-com industry, and Goldfarb decided it was time to restart [Degel]. Before the break Degel had focused primarily on Windows development. From 2001, however, the company began to focus on wireless technologies.

Full Text (1234 words)

Copyright 2003 The Jerusalem Post

David Goldfarb, the founder of Degel Software, admits he is not a visionary. Instead, unlike many engineers today, the 41-year-old entrepreneur prefers to take someone else's technological vision and turn it into a reality.

"My strength is not figuring out what the market wants, but talking to the person who does know this and helping them turn it into a real product," says Goldfarb, a specialist in Artificial Intelligence who graduated from MIT in Boston a year before immigrating to Israel.

"We work with companies that have excellent marketing, management and visions, but don't have the technical skills in house or enough people in house to make their days come true fast enough."

Goldfarb founded software development boutique, Degel Software in the basement of a house in Beit Shemesh. Over the years, the small four-man company has provided software solutions and technical expertise to a variety of big-name companies looking for solutions in product development.

The company's first client, was Sun Israel Research Center. Degel helped the company optimize and enhance J2ME, a version of Java for small devices. Other clients include NTT of Japan, Intel Israel, Basis Technology in Massachusetts, and a well-known global Internet messaging company based in Israel. Degel began working with the instant messaging service, which declined to be named, in August 2001, to develop an instant messaging (IM) client compatible with several next generation cell phones. The work continues today, contributing greatly to the company's overall revenues.

In November last year British company, Electric Pocket, chose Degel to update its BugMe! product from the Palm Pilot to next generation mobile phones. Electric Pocket, a privately held company that specializes in mobile and wireless computing applications for companies like Vodafone, Ericsson, and Handspring, came across Degel after reading a report by Andy Weinstein, one of the company's engineers, on the Symbian Web site. It then approached the Israeli company via e-mail and asked it to redesign BugMe!, a reminder program popular with Palm OS and Pocket PC users. The first project was to update BugMe! for the Nokia 7650, and the second for the Ericsson P800. Both mobile phones are based on Symbian technology and have a built-in camera and voice recorder.

Unlike Palm, Degel had to find a way for users to operate the note-taking technology without a keyboard, since the keypad on mobile phones is inconvenient and slow to use. Degel therefore incorporated the use of photographs and

audio clips and developed an easy-to-use, joystick-driven wizard-style interface implementation. Today users of the Nokia 7650 can either record notes or reminders, or as Goldfarb suggests, take a photograph that does the same job. Say you've got chicken cooking in the oven and want to remember to take it out in 20 minutes. You just take a snapshot of the chicken in the oven and then click 20 minutes. When the alarm rings, the photo appears on screen, reminding you to turn off the oven. "It's a two-second process," says Goldfarb.

Work on the first BugMe! project took just over a month, and was completed in time for Christmas. The upgrade for the Ericsson P800 phone was completed by February. It was only during this second project that management at both companies finally had a chance to meet up. Before then the two companies worked through e-mails and telephone calls alone.

"It just shows how two companies 3,000 miles apart can find each other on the Web and work together effectively," says Goldfarb.

Degel is now involved in a number of other small projects for Electric Pocket. "The deals with Electric Pocket are relatively small, but the company was our first significant client outside of Israel," says Goldfarb. "It was also our first in the field of utilities applications which helped us enter a nice new market."

"In the international arena, Degel has a solid reputation and we found them to be a terrific partner throughout the entire project and, most importantly, with the quality of the final product," says Iain Barclay, chief product officer of Electric Pocket. "BugMe! is our flagship product and Series 60 is of enormous strategic importance to us. It was vital to have a partner who understood our product and our business, and we found that in Degel Software."

GOLDFARB INITIALLY founded Degel Software in the early 1990s, and ran the company as a one-man operation. In 1995 he closed the company and began work on a new project called 2am Development. At the end of 2000 2am Development became another victim of the collapse of the dot-com industry, and Goldfarb decided it was time to restart Degel. Before the break Degel had focused primarily on Windows development. From 2001, however, the company began to focus on wireless technologies.

"There is a revolution going on in this sector," says Goldfarb. "Individuals can now buy computers that they can afford to lose. Prices are low and people do not store anything of intrinsic permanent value on these new computers. If your PC dies, you lose all your work. If your phone dies, you buy another one. That's the wireless revolution."

At present, Degel remains a small-time player working in the big league. Last year company revenues were below \$500,000. This year they should increase beyond that figure.

"We are getting a great deal of new business," says Goldfarb. The company is now involved in several other projects in the field of utility and office support applications, and, despite the current recession, recently brought in several new clients from the GSM Congress in France.

"It was a good show for us," admits Goldfarb, who also added new Israeli clients to his list at the show. Today Degel is working with Netanya companies Bamboo Multicasting and Cash-U Mobile Technologies - a specialist in mobile entertainment, OTM Technologies and 3Dme, a company that has developed technology that can convert real-time speech into animated 3-dimensional displays of faces.

Goldfarb's goal is to enlarge the company gradually over the next two years to between 10 to 12 employees, and then bring on a new CEO skilled in management and marketing. Currently most of the company's marketing is done via word of mouth, or at trade shows, and Goldfarb is aware that if he is to move up to the next stage, he needs a more targeted approach.

The past two years have been difficult ones for everyone in hi-tech, and Degel is no exception. "We've had two years of struggling from client to client," says Goldfarb. "January 2001 was not the best time to start a company. We had little time to waste on speculation. But having made it through the last two years we hope to be in a stronger position when the market starts to thrive."

In the past six months he has noted an increase in interest.

In the world of hi-tech, companies like Degel are unusual, because most consultancy companies are set up to bootstrap internal innovations. Goldfarb, however, has no plans to start introducing his own inventions, instead he intends to focus completely on consultancy. "We'll stay in consultancy for the long term," says Goldfarb.

Nor does he want the company to grow too big.

"Other consultancy companies work with 100 engineers but none of them are particularly special, they tend just to be manpower. We want to stay small and hire the best. Our strength is being one step ahead of the game."

Reproduced with permission of the copyright owner. Further reproduction or distribution is prohibited without permission.

Companies: Degel Software, Electric Pocket

Section: *Economics*

Text Word Count 1234